

Gold ORB V2 Research review

Five ATR stops without range filters | Prepared for Abhishek | 17 September 2026

Verdict: retain this system and advance it to validation and demo forward testing. The evidence does not yet justify full live deployment at 1% balance risk. All five versions are profitable over the submitted history, with 1,697 trades each. That is a meaningful research sample. It is not proof that the selected parameters will retain their edge after costs and in a new market regime.

Decision	Candidate	Reason
Primary return candidate	0.25 ATR	Highest net profit, profit factor, reported Sharpe and recovery factor; 33.57% relative equity drawdown is substantial.
Lower-drawdown candidate	0.65 ATR	Lowest relative equity drawdown (13.11%); lower profit, but a more tolerable historical path.
Middle comparison	0.50 ATR	18.77% relative equity drawdown; useful to judge the return cost of moving to 0.65.
Deprioritize	0.20 and 0.35 ATR	0.20 adds losses/drawdown without more profit. 0.35 gives up much of 0.25's profit with almost unchanged worst relative drawdown.

The next decision is whether a range filter adds value

Yes, test it next. Carry 0.25, 0.50 and 0.65 ATR into a small, predefined range-filter experiment. Keep the unfiltered version of each as its control. Do not assume filtering must improve the strategy, and do not search many thresholds until an attractive curve appears.

What the evidence establishes

The tested stop family has a positive historical result across a broad 0.20-0.65 ATR interval. The equal counts and identical long/short totals improve comparability. The five curves also share a weak middle period and strong later growth, so diversification across these stop settings is not established.

What it does not establish

Screenshots cannot establish actual commissions, execution slippage, exact test endpoints, identical entry timestamps, out-of-sample performance, monthly return concentration or a confidence interval for the edge. This report separates observed values, calculated comparisons and visual hypotheses throughout.

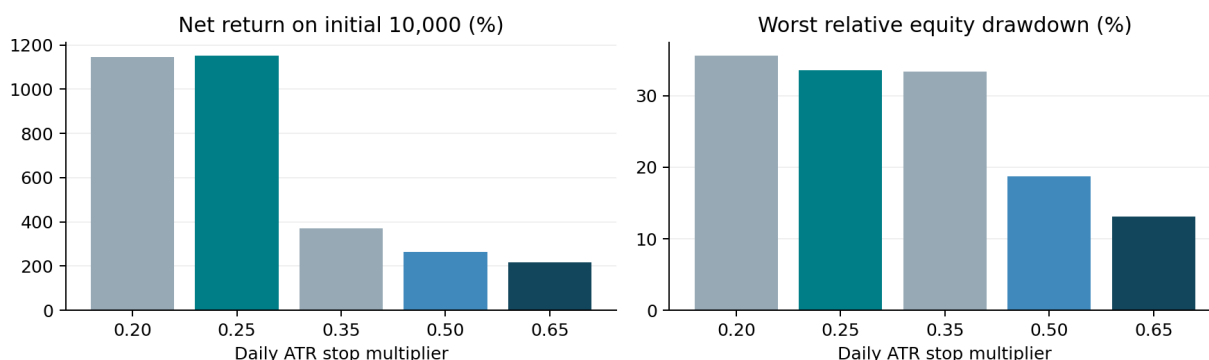
Source: ORB_V2_GOLD_NO_RANGE.xlsx, all six sheets and all 16 embedded screenshots. Results are attributed to ATR settings using your sheet names. Monetary figures are account-currency units; account currency is not shown in the supplied report panels. No backtest was rerun for this review.

The five runs, reconciled

All reported runs: initial deposit 10,000 | 1,697 trades | 3,394 deals | 99% history quality

ATR SL	Net profit	Net return*	PF	Win %	Equity DD**
0.20	114,643.43	1,146.43%	1.30	33.71%	35.65%
0.25	115,274.47	1,152.74%	1.33	39.07%	33.57%
0.35	36,962.92	369.63%	1.23	44.55%	33.38%
0.50	26,532.67	265.33%	1.25	49.85%	18.77%
0.65	21,635.79	216.36%	1.27	51.86%	13.11%

* Net profit / initial deposit. These are cumulative, compounded test outcomes, not annual returns. ** Equity Drawdown Relative: worst percentage drop from a prior equity peak.



0.25 ATR finishes with a calculated balance of **125,274.47**, versus **31,635.79** for 0.65. This large cash gap includes compounding: earlier profits alter subsequent 1%-balance position sizes. It is not evidence that each 0.25 trade has four times the underlying edge.

ATR SL	Recovery	Reported Sharpe	Avg net / trade	Longest losing run
0.20	6.27	2.27	67.56	17
0.25	6.64	2.50	67.93	17
0.35	5.04	1.88	21.78	12
0.50	6.52	2.00	15.64	9
0.65	6.02	2.20	12.75	9

All five also show 810 shorts, 887 longs, 158,082 bars and 282,827,485 ticks. The previous trade-count issue is absent in these totals. Equal counts do not prove the exact same entry dates/prices; reconcile the exported trade lists before treating this as a fully matched experiment.

Audit: gross profit minus absolute gross loss reconciles to net profit for every run; wins plus losses equals 1,697; gross profit / gross loss reproduces reported PF to rounding. Exact test end date is absent, so no CAGR is claimed. Roughly 21 trades/month is consistent with an approximately 80-month history, but is not an exact measured rate.

Read the drawdown correctly

A higher win rate did not produce the strongest overall return

ATR	Largest cash equity DD	% at that cash DD	Worst relative equity DD
0.20	18,273.20	21.57%	35.65%
0.25	17,358.99	20.79%	33.57%
0.35	7,335.28	33.38%	33.38%
0.50	4,071.80	13.36%	18.77%
0.65	3,595.66	12.25%	13.11%

For 0.25, **20.79% is not its worst percentage equity drawdown**. It is the percentage at the largest cash drawdown, 17,358.99. Its worst percentage episode is 33.57%, with a corresponding cash drop of 12,007.62. Different episodes can lead on cash and percentage measures. A 33.57% decline requires approximately **50.53%** growth from the trough to regain the peak. [1]

ATR	Avg winner	Avg loser magnitude	Payoff ratio*	Break-even win %*
0.20	870.34	340.61	2.56	28.13%
0.25	696.62	335.19	2.08	32.49%
0.35	257.00	167.19	1.54	39.41%
0.50	157.78	125.67	1.26	44.34%
0.65	114.90	97.28	1.18	45.85%

* Calculated from screenshot averages: payoff = average winner / average loser magnitude; break-even win rate = $1 / (1 + \text{payoff})$. These are cash-weighted historical summaries under changing position sizes, not fixed-lot or R-multiple estimates.

The 0.25 run wins only 39.07% of trades, but its average winner is about 2.08 times its average loser. At 0.65, the win rate rises to 51.86%, while the payoff ratio drops to about 1.18. Wider stops rescue some trades, but lower position size reduces the payoff from a given favorable move. A larger win rate alone is not an improvement.

Loss streaks and execution sensitivity

0.20 and 0.25 each show a 17-trade losing streak; 0.35 shows 12; 0.50 and 0.65 show 9. Seventeen consecutive full 1%-of-balance losses would compound to about 15.7% loss, before costs. This is an illustration, not a reconstruction: some losses exit at the daily close rather than the SL.

Smaller stops normally require more volume for the same planned risk, increasing costs relative to that risk budget. The strong 0.25 result therefore needs spread, commission and stop-fill stress tests. A 99% history-quality score is not proof of realistic fills or a particular real-tick modeling mode. [1]

The equity curves are not uniform

Visual observations are approximate; the workbook has no transaction-level series

Period visible on curves	Observation	Implication
2020-2021	Growth interrupted by pullbacks; tighter stops build more capital.	There is evidence of early progress, not only a final-period windfall. Exact annual returns remain unknown.
2022	Choppy progress for tight stops; wider versions spend long stretches around prior levels.	Winning aggregate performance does not imply a productive every-year strategy.
Late 2022 through 2023	Broad stagnation/drawdown, especially 0.20, 0.25 and 0.35.	This is a key stress period for any proposed filter. Do not tailor a filter solely to erase this known loss period.
2024 into early/mid 2025	Renewed, strong growth in all five curves.	A shared favorable regime appears important; measure its contribution in returns and R, not just cash.
Later 2025 and 2026 shown	Further gains with setbacks; tight variants finish with a sharp rise.	Check profit concentration and the largest recent winners. There is no evidence here of smooth, regime-independent earnings.

What the actual gold chart contributes

Sheet 6 is explicitly **XAUUSD, Weekly**. Its ATR(14) panel is consequently a weekly ATR display, not the EA's D1 reference ATR. Do not copy its displayed 214.45 value into a daily-ATR calculation. Its lower date axis is cropped, so exact point-by-point alignment with the equity curves is unavailable.

The supplied price chart shows a long consolidation followed by a major advance and a later volatile pullback. The stronger later strategy curves are consistent with a favorable expansion/trend regime, but this is a hypothesis, not measured causality. Long and short trades both exist; the chart alone cannot establish that profits simply came from buying gold.

Avoid misleading chart interpretations

The monthly bars pool all Januaries, all Februaries, and so on across the full test. They do not show monthly consistency through time. Entry counts cluster around server hours 06-09; profit realization clusters near hour 18, consistent with scheduled exits. This is not evidence that opening trades at 18:00 is superior.

Wednesday appears weaker than several other weekdays, and June appears weak in some wider-stop runs. Treat these as observations for auditing, not reasons to delete weekdays/months. Cash bars are affected by compounding and unequal exposure.

Which ATR settings to carry forward

Choose a research role for each candidate rather than a single universal winner

0.25 ATR - primary return candidate

Best observed net profit (115,274.47), PF (1.33), recovery (6.64) and reported Sharpe (2.50). Compared with 0.20 it gains slightly more while winning more often and experiencing less relative equity drawdown. Its 33.57% drawdown and long losing streak make it unsuitable for an automatic 1%-risk live approval. Retain it as the principal return-oriented baseline.

0.65 ATR - primary lower-drawdown candidate

Lowest relative equity drawdown (13.11%), highest win rate (51.86%) and highest reported LR correlation (0.94). PF 1.27 is better than 0.35 and 0.50. It gives up much of the tight-stop compounded return, but offers the cleanest historical risk profile of the submitted runs. Lower historical drawdown is not a future ceiling or evidence that this stop is safe for every account.

0.50 ATR - retain as the middle comparison

Net profit of 26,532.67 versus 21,635.79 at 0.65 comes with 18.77% rather than 13.11% relative equity drawdown. Its recovery factor (6.52) is close to 0.25's. Carry it into the limited filter experiment to see whether a range limit can improve this compromise consistently.

0.20 and 0.35 ATR - archive, do not discard the evidence

0.20 produces 631.04 less net profit than 0.25, with higher drawdown, lower PF and more losing trades. Keep it as evidence that the tight-stop result is not isolated to one exact number; do not prioritize further tuning there. 0.35 suffers 33.38% relative equity drawdown, almost the same as 0.25, but delivers only 36,962.92 net profit and the lowest PF/Sharpe. It is a useful sensitivity warning, not the best next candidate.

What is still needed for a fair risk-adjusted selection

Do not compare only ending balances at the same nominal SL risk. Compare candidates after rerunning at a common risk target and examining net R per trade, daily returns, longest drawdown duration and execution costs. The 0.25 configuration at reduced risk may compete with 0.65 at a higher risk budget, but aggregate screenshots cannot tell us the outcome.

Do not allocate separate full risk budgets to all three as if they were independent systems. They use the same symbol, breakout logic and broadly similar entries. These are variants of one portfolio sleeve until daily-return correlation demonstrates otherwise.

Yes, test the ATR range filter next

Nine filtered runs, plus the three unfiltered controls; do not optimize every input together

Use **Stop_ATR_Mult = 0.25, 0.50, 0.65**. For each stop, run the three bands below. Keep Reference_ATR_Timeframe=D1, Reference_ATR_Period=14, Use_Range_Percent_Filter=false and all session, entry, buffer, spread, direction and risk settings unchanged. Set Use_ATR_Range_Filter=true only for the filtered runs.

Band	Min_Range_ATR	Max_Range_ATR	Question tested
A: broad upper cap	0.00	0.80	Does excluding only very large opening ranges help?
B: tighter upper cap	0.00	0.60	Does a stronger large-range exclusion improve consistency?
C: bounded range	0.10	0.60	Does removing very small ranges add value beyond band B?

These are **proposed research thresholds**, not levels inferred to be optimal from your screenshots. Range/ATR is (range high - range low) divided by the frozen pre-session D1 ATR. A 0.60 cap means the opening range must be no larger than 60% of that daily ATR. Zero minimum disables the economic lower bound, while the EA still requires a valid, nonzero range.

Evaluate the filter against its own stop-matched control

Record trades retained, days excluded, net R/trade, net R per calendar month, PF, relative equity drawdown, drawdown duration, worst year, long/short contribution and cost sensitivity. The filter should improve risk/return on more than one neighboring setting and time segment. A lower drawdown caused only by trading less is not enough: compare the unfiltered system at a reduced risk budget too.

Break the diagnostic returns into 2020-2022, 2023, 2024 and 2025-2026, plus individual calendar years. Those periods are already visible to us and are not genuinely unseen validation. Do not select thresholds on the whole history and then label the same dates out-of-sample.

Acceptance and rejection rules before starting

Prefer a filter that removes consistently weak range buckets, retains a useful number of trades, improves performance after costs, and remains helpful in chronological validation. Reject one whose benefit comes only from excluding a few known losing dates, one year or one isolated threshold. If none clears these tests, keep the unfiltered baseline.

Stop after this small batch and review. Before another search, export the actual range/ATR and trade outcomes so the next hypothesis is supported by data. Keep a register of every variant tried; repeated selection across many tests creates overfitting risk. [2]

A large sample is useful, not sufficient

1,697 trades per variant are a foundation; the five variants are not 8,485 independent observations

What can already be said about lucky winners

The largest reported winner is only 3.53%-6.75% of total net profit across the five runs. For 0.25, it is $6,188.64 / 115,274.47 = 5.37\%$. One trade cannot explain the entire positive result.

There is also a simple cash bound: even subtracting ten times the single largest winner leaves positive reported net profit in every run. For 0.25, the bound is $115,274.47 - 10 \times 6,188.64 = 53,388.07$. This is only arithmetic on the existing realized trade amounts. It is **not** a rerun without the top ten trades: removing early wins would alter later compounded lot sizes. The concentration of returns by month, regime and R-multiple still needs the trade list.

Export once, answer the important questions

Required evidence	Analysis it enables
Full MT5 HTML reports and saved .set files for the three finalists	Confirm exact dates, symbol, deposit currency, leverage, modeling mode, risk, session clock and identical non-SL settings.
Trade/deal export with times, volume, price, SL, profit, commission, swap and fees	Match entry dates, calculate net R and daily returns, separate long/short performance and verify execution economics.
Entry-time reference ATR, range/ATR and account balance; equity series	Test the actual range hypothesis, measure risk sizing, intratrade drawdown and time under water.
Single-run Journals and broker symbol specifications	Reconcile minimum-lot skips, order rejections, scheduled-close failures and data gaps.

Validation sequence

First: reconstruct annual/monthly net returns and rolling performance. **Second:** run with realistic commissions, variable spreads and adverse slippage, including a 1.5x spread/commission scenario and broker-appropriate execution delays. Stress sizes are research assumptions, not predictions of live fills.

Third: use chronological train/validate windows and preserve a truly untouched period if one exists; previously viewed dates are retrospective diagnostics. **Fourth:** test parameter stability and a second broker feed without retuning to it. **Fifth:** use block resampling of daily/weekly outcomes for drawdown and loss-streak uncertainty. Shuffling individual trades alone discards clustering.

Not computed here: exact annual returns, CAGR, monthly concentration, long/short net PF, daily Sharpe, R expectancy, drawdown duration, bootstrap confidence intervals or future ruin probability. The workbook contains screenshot evidence, not the underlying transaction/equity series.

Research-ready; not yet live-proven

The next step is disciplined validation, not another strategy search

I agree that this is worth continuing. I do **not** agree that sample size alone makes it ready for live trading at the tested risk. The submitted worst relative equity drawdowns range from 13.11% to 35.65%. A profitable six-plus-year curve can still be incompatible with your available capital, loss tolerance or funded-account rules.

Stage	Decision / evidence required
Now	Keep 0.25, 0.50 and 0.65 as research candidates. Archive the five submitted baselines unchanged. Run the small range-filter matrix.
Demo forward test	Freeze one candidate and its rules. Collect roughly 50-100 trades to audit signal matching, costs, stop fills, volume and EOD exits. This sample is an operational check, not statistical proof of the edge.
Potential small live pilot	Only after cost, data, chronological-validation and execution checks pass. A proposed starting risk budget is 0.10%-0.25% balance per trade, subject to broker minimum-lot feasibility and a predefined account loss budget.
Scaling	Requires continued execution agreement and acceptable realized drawdown across changing conditions. Do not increase risk merely because the last few trades won.

Before any pilot, choose a hard account-level loss budget and a review process. Pause for incorrect volume, unexpected overnight exposure, failed exits or fills materially outside the tested assumptions. Any new circuit breaker changes strategy behavior and should be backtested. Do not automatically resume or retune simply to recover a loss.

At smaller risk, minimum-lot skips may return. Never force the minimum lot if it exceeds the risk budget. If the account/contract cannot express the intended size, the proposed pilot is not feasible on that setup. Keep funded-account evaluation separate: these reports do not calculate daily loss or trailing-loss-rule compliance.

Your immediate work list

1. Save the exact baseline reports/settings. **2.** Test bands A/B/C for 0.25, 0.50 and 0.65. **3.** Export the three baseline trade histories plus the best filter candidate. **4.** Compare yearly returns, 2023 behavior, post-2024 concentration and realistic costs. **5.** Freeze one candidate for demo validation. Continue ORB research before moving to another portfolio system.

Sources and evidence boundaries

[1] MetaQuotes, Testing Report: definitions of relative/maximal drawdown, history quality and report metrics. Accessed 17 September 2026.

metatrader5.com/en/terminal/help/algotrading/testing_report

[2] Bailey, Borwein, Lopez de Prado and Zhu, The Probability of Backtest Overfitting: selection among strategy configurations can overfit historical data. This report does not calculate PBO.

davidhbailey.com/dhbpapers/backtest-prob.pdf

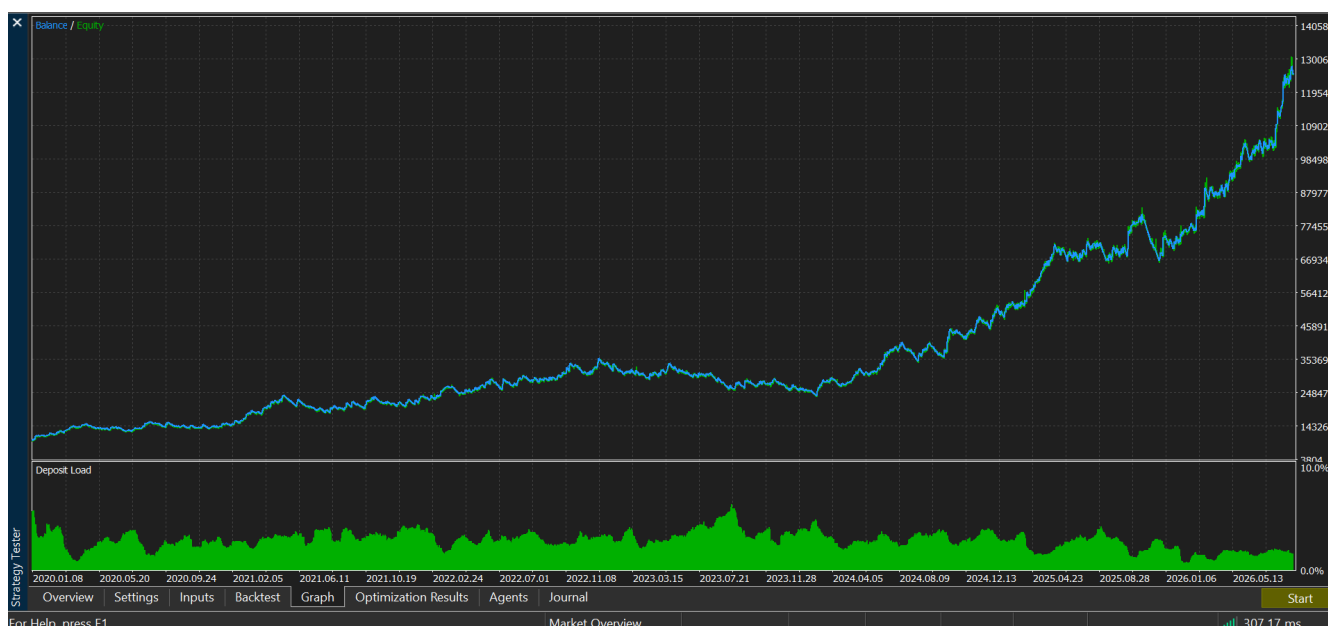
Primary evidence: your ORB_V2_GOLD_NO_RANGE.xlsx, sheets .25ATR_NO_RANGE_2020-26, .35ATR_NO_RANGE_2020-26, .50ATR_NO_RANGE_2020-26, .65ATR_NO_RANGE_2020-26, .20ATR_NO_RANGE_2020-26 and ACUTAL_GOLD_MOVEMENT. Settings come from your stated experiment and earlier screenshots; full per-run settings are not embedded in these panels.

Tight-stop equity curves

Original screenshots extracted from your workbook; each chart retains its own scale



0.20 ATR - sheet 5. Strong ending growth, but a substantial mid-period decline.



0.25 ATR - sheet 1. Similar structure with a stronger reported profit factor.

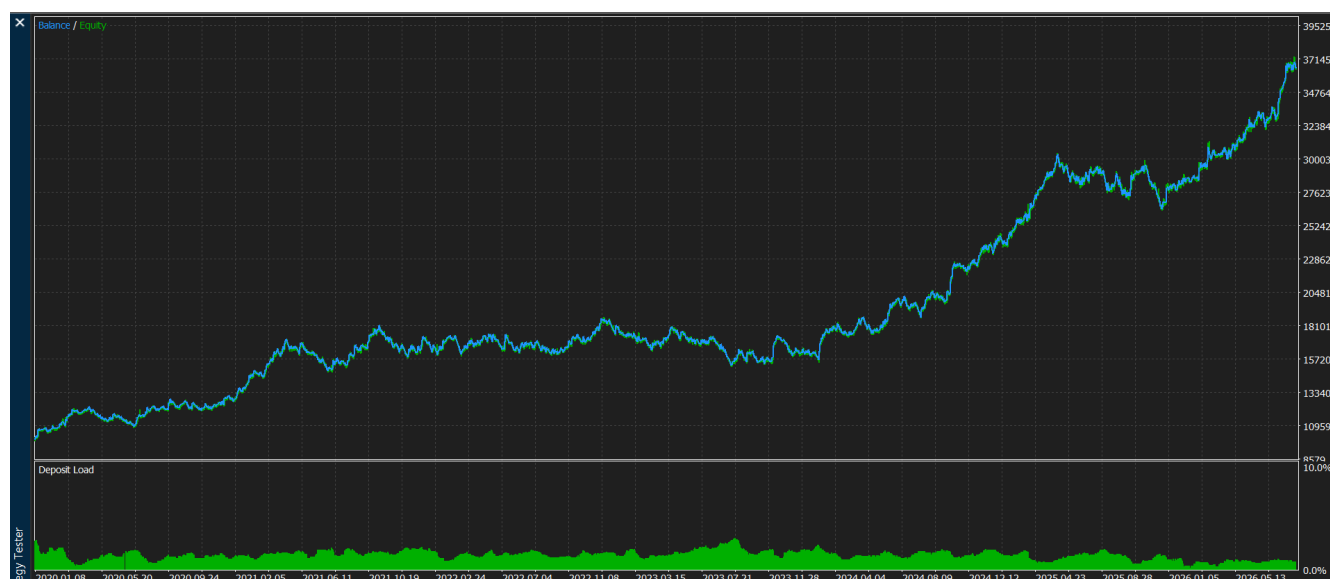
Compare timing and shape rather than the apparent steepness of differently scaled charts. These figures support qualitative regime observations; exact return/drawdown attribution requires exported data.

Intermediate-stop equity curves

Original screenshots extracted from your workbook; each chart retains its own scale



0.35 ATR - sheet 2. A pronounced 2023 decline despite a wider stop.



0.50 ATR - sheet 3. Lower relative drawdown, with extended flat/choppy stretches.

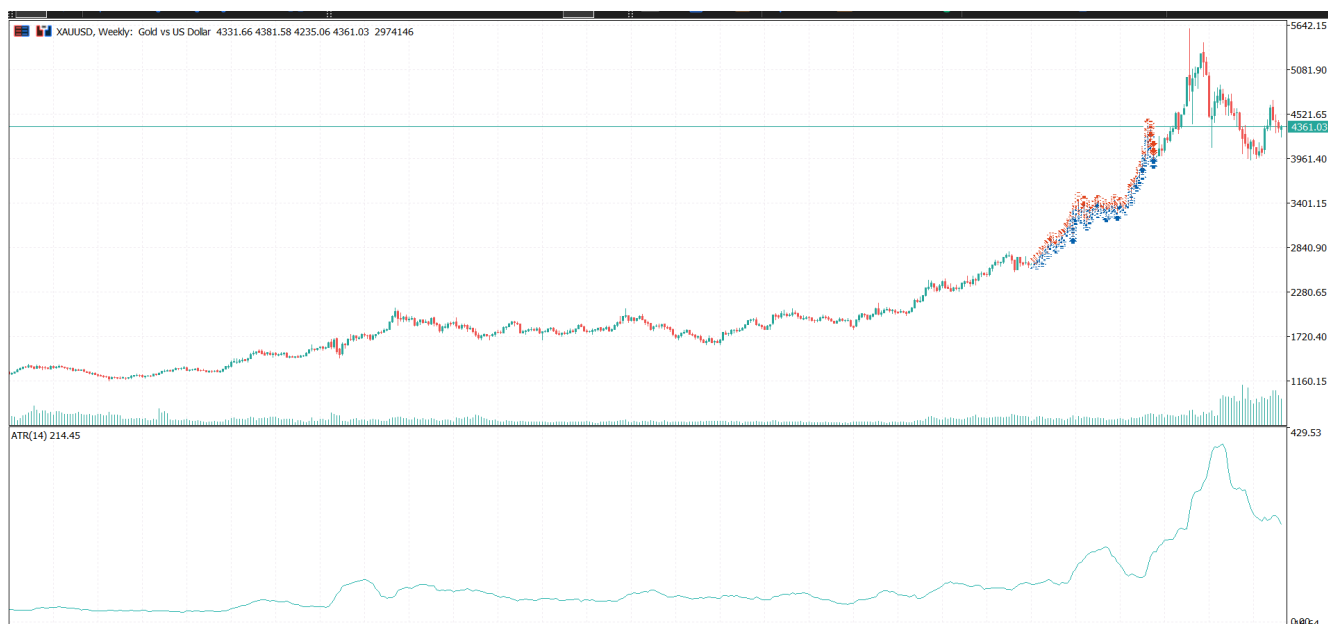
Compare timing and shape rather than the apparent steepness of differently scaled charts. These figures support qualitative regime observations; exact return/drawdown attribution requires exported data.

Wider stop and gold context

Original screenshots extracted from your workbook; each chart retains its own scale



0.65 ATR - sheet 4. Lowest reported relative drawdown of the five variants.



Gold weekly chart - sheet 6. ATR shown here is weekly; the lower date axis is cropped.

Compare timing and shape rather than the apparent steepness of differently scaled charts. These figures support qualitative regime observations; exact return/drawdown attribution requires exported data.